

The 1920s Florida land boom came to an end when the supply of new and adequately gullible buyers dwindled and thousands were left homeless after a hurricane.

In 1925, bank clearings in Miami were \$1,066,528,000; in 1928, they were down to \$143,364,000.

By 1928, the speculative mood and mania had shifted to the far less equable climate of lower Manhattan.

Prices of common stock on the New York Stock Exchange had begun rising in 1924. The increase continued in 1925; suffered some setback in 1926, possibly in sympathetic reaction to the collapse of the Florida land boom; rose again in 1927; and, as it may properly be said, took clear leave of reality in 1928 and particularly in 1929.

In the spring of 1929, there was a mild break. The Federal Reserve Board, departing very slightly from its then unexampled timidity and accepted incompetence, announced that it might tighten interest rates to arrest the boom, and the market receded a bit. The action of the central bank was seen as an exercise in economic sabotage. Charles E. Mitchell, head of—as it then was—the National City Bank and himself riding the upward wave, stepped in to counter the threat. “We feel,” he said of his bank in a statement of nearly unparalleled arrogance, “that we have an obligation which is paramount to any Federal Reserve warning, or anything else, to avert any dangerous crisis in the money market.” The National City Bank would lend money as necessary to offset any restraint by the Federal Reserve.



Charles Mitchell, head of the National City Bank in 1929, offered to lend the public enough money to offset any unwanted restraints by the Federal Reserve.